Shringar House of Mangalsutra Ltd

Concall-Tracker report · NSE: SHRINGARMS · BSE: 544512 · Q2 FY27 (quarter to 30 Sep 2026) · prepared 11 Nov 2026 · 3 concalls read

1. Snapshot

What it does: a Mumbai maker of gold mangalsutras (the black-bead necklace a married Hindu woman wears), now also making bridal jewellery. It sells to jewellery shops, not to shoppers. Big chains like Tanishq (Titan), Malabar, Reliance and Aditya Birla's Indriya are now about half its business. It earns a making charge that's a percentage of the gold value, so it makes more rupees per piece when gold prices rise.

Figure	Value	Plain read
Market cap	₹3,059 cr (price ₹317)	What the whole company is worth. Near the top of its ₹166-336 one-year range, so the market already likes the story.
Price to earnings	22x	You pay about 22 years of current profit. Not cheap for a jewellery maker, not wild either.
Q2 FY27 sales	₹819 cr, up 55% on a year ago	Its biggest quarter yet. But gold weight sold rose only about 10% (577 kg), so most of the jump is the higher gold price, not more pieces.
Q2 FY27 operating profit	₹55 cr, margin about 6.7%	Roughly 7 paise of operating profit per rupee of sales. Thin, as all gold jewellery makers are, but a touch better than a year ago.
Q2 FY27 net profit	₹39.5 cr, up 73%	Profit grew faster than sales because making charges ride on the gold price.
FY26 (full year)	Sales ₹2,246 cr, profit ₹115 cr	Sales up 57% and profit nearly doubled in its first year as a listed company.
Return on capital	ROCE 27%, ROE 26%	Earns about ₹27 a year before tax on every ₹100 tied up. Very good for this trade.
Cash flow (FY26)	Operating cash about minus ₹282 cr	The big catch. Growth swallowed cash: more gold stock and more money owed by customers. Inventory days rose from 64 to 80 and debtor days from 22 to 38. Management says the half year to September was close to break-even.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY26	12 Feb 2026	Yes, skimmed for promises and guidance
Q4 FY26	27 May 2026	Yes, read in full
Q1 FY27	none listed	No call or transcript found for the June 2026 quarter
Q2 FY27 ★	5 Nov 2026	Yes, read in full (newest)

The company listed in September 2025, so there are only three calls on record, spanning nine months. The consistency read is therefore short by nature.

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Sales ₹819 cr, up 55%; profit ₹39.5 cr, up 73%. Gold weight sold up only about 10%. So the rupee growth is mostly gold price; the volume story is steadier.
- Big chains are now **51%** of business, up from about 35% at the IPO. Target is **about 65%**. Chains pay on fixed dates, which is how they plan to fix the cash drain.
- Bridal jewellery, started in the March quarter with a first lot to Tanishq in May, is already **about 10%** of output by weight, with three or four chains signed. Management wants bridal to match mangalsutras in two to three years.
- Board approved a new **wholly owned subsidiary** for lighter, cheaper pieces (9-carat gold, silver, lab-grown diamonds), sold mostly online to shoppers. Launch expected in two to three months, with a small ₹2-5 cr start.
- Tone: very upbeat. "The next quarters will also break records", citing chain orders and the wedding season. Capacity has gone from 2.5 to 4 tonnes a year, which is why staff costs jumped.

Business mix & capacity
Domestic vs export: almost all India. It exports to eight to ten countries but management calls the amount small and says India comes first. No split given.
Customer mix: chains 51% (target 65%); Malabar alone was about 17% of FY26 sales. Titan works on job work (Titan gives the gold, Shringar charges only for labour), so Titan's volume barely shows in sales.
Capacity: raised from 2.5 to 4 tonnes a year. In February they said the old plant was running at about 70%. Using 1.94 tonnes in the first half (968 kg) on a 4-tonne base means roughly half the new capacity is in use, so there's room to grow without more spending.

3. Earning trigger thesis ★

The driver management keeps pointing to is simple: sell more to the big chains, now with a bridal range on top of mangalsutras, from a plant that's just grown by about 60%. The chains are growing their store counts fast (one has 80 new showrooms planned in two years) and pay on time, so each step towards them helps both growth and cash. It's real and visible in the customer mix. The catch is that gold weight sold rose only about 10%, so the headline growth flatters the volume, and the cash drain is only now being brought under control. Bridal is the piece to watch: if it really reaches the size of mangalsutras, volume can jump, not just value.

Trigger	What management said	Evidence so far	Horizon	Strength
Shift to big chains	From 35% at IPO to 51%, aiming for about 65% (Nov 2026)	Chain share has risen as promised; cash flow said to be near break-even in the half	Next 1-2 years	Strong: steady, checkable progress
Bridal jewellery	Will match mangalsutras within 2-3 years (May and Nov 2026)	About 10% of output by weight within six months; 3-4 chains signed	2-3 years	Moderate: early but fast start
New capacity, 2.5 to 4 tonnes	Approved Feb 2026, now in place (Nov 2026)	Staff hired; volume up about 10% so far	Now	Moderate: room exists, needs volume to fill it
Cheap-jewellery subsidiary	Launch in 2-3 months, mostly online (Nov 2026)	Board approval only	FY28	Unproven
Gold price (risk and help)	Higher gold lifts making charges; lower gold lifts volume	Rupee growth well ahead of volume	Any time	Swings both ways

3b. Trigger check

Trigger type	What was said (date)

	Yes/ No	
Debt cut	No	Not discussed as a plan.
New business	Yes	Bridal jewellery "already about 10% of our business" by volume, three or four chains tied up (5 Nov 2026); subsidiary for 9-carat, silver and lab-grown pieces.
Margin up	No	Management guides profit margin "around 5% plus and minus" (Feb 2026); no expansion plan stated.
New management	No	Same family team.
New capacity	Yes	"We have already increased our capacity from 2.5 to 4 tonnes" (5 Nov 2026).
Big orders	No	"Massive volume of orders" claimed but no order book given.
Turnaround	No	Already profitable.
Promoter buying	No	Promoters steady at 74.8%.

Single concrete driver: selling bridal jewellery and more mangalsutras to big chains like Tanishq and Malabar from a plant that's grown from 2.5 to 4 tonnes a year.

3c. Margin bridge

Operating margin is about 6.7% against about 6.2% a year ago. The lift comes from making charges set as a percentage of a higher gold price, partly offset by much higher staff costs for the bigger plant and bridal team. Management itself says margin should hover around the same band, so treat the gain as tied to gold, not a new level (one-off).

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Feb 2026	About 30% yearly growth	Sales up 57% in FY26 and 55% in Q2 FY27, though volume only about 10%	Delivered (in value)
Feb 2026	A bigger plant approved, "very soon" ready	Capacity now 4 tonnes, up from 2.5	Delivered
May 2026	Start bridal with the chains, "slow and steady"	About 10% of output in six months	Delivered
May 2026	Move towards organised chains to fix cash	Chain share 51%; cash near break-even in the half after a large FY26 drain	Partly
Earlier stance	Not going into selling to shoppers	Now plans an online shopper brand through a subsidiary	Changed (explained)

Narrative drift: the core story has held across all three calls: chains, bridal, capacity. The one shift is the move into selling to shoppers, which management had ruled out before; they explained it as a separate unit with products the chains don't buy from them. The habit to watch is loose talk. Answers on bridal sales value, the order book and cash targets were vague, and the 30% guidance is in rupees, which gold does a lot of the work for.

5. Bottom line

Durable earning trigger? → MAYBE

There's a real, named plan and it's moving: chain share up from about a third to half, bridal at about a tenth of output in six months, and a plant that's grown by about 60%. But volume grew only about 10% while sales grew 55%, so most of the growth so far is the gold price. The trigger becomes a Yes when bridal and the new plant show up as clearly higher kilos sold, and cash flow turns positive for real.

Management consistent? → MAYBE

They did what they said on capacity, bridal and growth, which counts for a lot in three calls. But the record is only nine months long, the cash drain of FY26 was large, answers on key numbers were loose, and the stance on selling to shoppers changed. Good start, too short to call a Yes.

6. Checkpoints for next quarter

- Gold weight sold grows faster than about 10% a year
- Chain share of business keeps rising towards 65%
- Half-year operating cash flow is positive

Sources: Q3 FY26, Q4 FY26 and Q2 FY27 earnings call transcripts (filed with NSE/BSE, via Screener.in); Screener.in financials and shareholding. Not investment advice. Do your own due diligence.